RBI - OFFICIAL REGULATORY DIRECTION
Master Direction on Digital Lending Apps (DLAs), LSPs and Default Loss Guarantee (DLG)

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Section 44: First Loss Default Guarantee (FLDG / DLG) Cap and invocation Rules

44.1 Ceiling on Default Loss Guarantee (DLG) Arrangements
A Regulated Entity (RE) may enter into a Default Loss Guarantee (DLG) agreement with a Lending Service Provider (LSP) only if the total DLG cover does not exceed 5 percent of the total loan portfolio amount originated through that specific LSP cohort.

44.2 Form of DLG Cover and Maximum Invocation Timeline
DLG cover must be backed exclusively by cash deposits, fixed deposits with scheduled commercial banks with a lien in favour of the RE, or an irrevocable Bank Guarantee. The RE shall invoke the DLG within a maximum overdue period of 120 days unless made good by the borrower beforehand.

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